

The consumer price index for wage earners and clerical workers is labeled and abbreviated CPI-W. The letter W is meant to remind us that this is the inflation rate experienced by wage earners. This index reflects the spending habits of this group, which is about 32% of the U.S. population. As of mid-2007, working Americans spend about four times the amount on food and beverages than on apparel, and they spend eight times more on housing-related expenditures than they do on recreation, and so on. These weights do change over time, but the relative values are fairly stable. The components in Table 5.3 provide the weights on the various categories that make up the CPI-W in mid-2007, and they, of course, must add up to 1. Notice that each subcategory has its own inflation rate. The higher the group weighting or relative importance, the more a price change for the group will impact the overall inflation rate.

TABLE 5.3 What’s Your Inflation Rate?

Component	CPI-W		CPI-E	
	<i>Relative Importance</i>	<i>10-Year Inflation</i>	<i>Relative Importance</i>	<i>10-Year Inflation</i>
All items	1.00	26.5%	1.00	29.7%
Apparel	0.04	−8.3%	0.02	−8.8%
Education	0.06	18.2%	0.03	4.5%
Food and Beverage	0.16	25.9%	0.13	25.4%
Housing	0.40	32.8%	0.48	34.0%
Medical Care	0.05	47.8%	0.11	47.8%
Recreation	0.05	9.8%	0.05	18.3%
Transportation	0.20	20.4%	0.14	21.9%
Other	0.04	56.0%	0.04	45.5%

Data Source: Bureau of Labor Statistics data to end of 2006; IFID Centre calculations.

As you can see from Table 5.3, the relative importance placed on the various subcomponents differs for the regular (CPI-W) versus the new and experimental elderly (CPI-E) version. For example, in the CPI-E, Medical Care has twice the weight as it has in the CPI-W. The reason for this is because the elderly spend a greater fraction of their